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One rent control bill stalls, but rent cap bill advances

April 25, 2019 | Mercury News, The: Web Edition Articles (San Jose, CA)
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Section: Or Reported And Verified From Knowledgeable Sources.| 903 Words
OpenURL Link

There was something for each side of the heated rent control debate to celebrate Thursday: one closely watched bill that would cap rent increases across the state moved forward, while a second bill that would have allowed more homes to be covered by rent control stalled and likely died.

Assembly Bill 1482, which would prevent landlords from raising rents more than 5 percent a year after inflation, advanced Thursday after members of the Assembly Housing and Community Development Committee voted 6-1 in favor — even though they expressed several concerns with the measure. The bill by Assemblyman David Chiu, D-San Francisco, now moves on to the Assembly Appropriations Committee.

"This is a really big step forward, and this has the potential to really move the needle in a very serious way and help a lot of folks who need and deserve help," said Assemblyman Jesse Gabriel, D- San Fernando Valley, who voted for the bill. But, he added, "we have to be thoughtful because it could have unintended consequences."

Gabriel and his fellow committee members were scheduled to vote on another rent control measure, Assembly Bill 36 as well. But its author, Assemblyman Richard Bloom, D-Santa Monica, announced late Wednesday night that he would pull the bill, making it highly unlikely that it will move this year.

I am asking that AB 36 be moved to Rules so we can continue to work towards reasonable reforms to Costa-Hawkins to deliver meaningful protections to the millions of California renters who are struggling to remain housed.

— Assemblymember Bloom (@AsmRichardBloom) April 25, 2019

AB 36 would have allowed cities to impose rent control on buildings 20 years old or older and on single-family homes, as long as the landlords owned 10 or fewer residences in the same jurisdiction. Currently, a state law known as Costa Hawkins restricts rent control to apartments built before 1995, or in some cities, even earlier. Single-family homes my not be rent-controlled.

Last November voters shot down a ballot measure, dubbed Proposition 10, that would have repealed Costa Hawkins. The same group that backed that ballot measure, the AIDS Healthcare Foundation, and its president, Michael Weinstein, on Monday announced they're trying again — this time to get a similar but scaled-back measure on the 2020 ballot.

Given legislative deadlines, AB 36 is unlikely to be revived this year. The bill was shy of the votes it needed to pass out of the Thursday morning hearing, even though dozens of tenant activists staged a sit-in at Gov. Gavin Newsom's office Wednesday afternoon, demanding he do more to champion the proposal.

Both AB 36 and AB 1482 are part of a renter-focused legislative package requested by Newsom. The governor applauded the legislators Thursday for advancing AB 1482.

"Families shouldn't be forced to live hours from where they work," he wrote in a statement. "Vulnerable residents – seniors, families with small children and people on a fixed income – shouldn't have to live in constant fear of eviction."

Thursday's hearing was filled well beyond capacity. Supporters and opponents of AB 1482, the controversial rent cap measure, packed the small hearing room and those who couldn't fit formed a line that wrapped around the

hallway outside, waiting their turn to voice their opinions. Supporters holding signs that read "Stand with the 17 MIL Californians who rent" faced off against opponents with signs that read "Don't make a bad problem worse."

AB 1482 would cap rent increases at 5 percent per year plus any change in the cost of living, not to exceed a total increase of 10 percent. Landlords would be prohibited from evicting a tenant in order to get out from under the cap, and the Department of Housing and Community Development would be required to study the cap and submit a report to the legislature on its effectiveness by 2033.

Chiu on Thursday said his bill isn't rent control — it's a protection against rent-gouging.

"What this cap does is prevent the most egregious increases in rent," he said. "For landlords, this bill would still enable them not just a fair rate of return, but a healthy return on their investment."

Opponents said a rent cap isn't the solution to California's housing shortage. Debra Carlton, senior vice president of state public affairs for the California Apartment Association, worried imposing a 5 percent rent cap would start legislators down a slippery slope, and they could be tempted to cap rents even lower in later years.

Adam Regele, policy advocate for the California Chamber of Commerce, complained the bill doesn't exempt new construction, nor does it allow for landlords to pass on cost increases from water, gas, electric and renovations to their tenants.

"The bill disincentivizes desperately needed new housing," he said.

Several committee members echoed the concerns opponents presented Thursday, and Chiu said he would take those issues to heart.

"I'm not prepared to commit to any of these issues today," he said. "But certainly hearing them put on the table, I very much appreciate that and I think we will certainly be having discussions in the coming days and weeks as we hope to move this forward."

Elsa Stevens, who rents a one-bedroom apartment in a building for seniors in Richmond, spoke in favor of Chiu's bill Thursday. She told the crowd that she was hit with a 7 percent rent hike in 2017 and a 12 percent hike last year, which was ultimately lowered to 3 percent. Now she faces another 5 percent hike.

"My husband and I were already spending 40 percent of our income on rent," Stevens said, later adding: "you gotta move these bills."

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- **Citation (apa Style)**
  Kendall, M. (2019, April 25). One rent control bill stalls, but rent cap bill advances*Mercury News, The: Web Edition Articles (San Jose, CA)*. Available from NewsBank: Access World News – Historical and Current: https://infoweb.newsbank.com/apps/news/document-view?p=WORLDNEWS&docref=news/1730BA2A4B7EA850.